



FREE MONEY ISN'T FREE.

THE DEBT TRAP

A field manual for anyone with a phone and no bank account yet.

WHAT'S INSIDE

01	YOU ALREADY BORROW MONEY	03
02	THE LINE AND THE CURVE	04
03	BUY NOW. PAY LATER.	05
04	THE APP IS NOT THE LENDER	06
05	WHERE THE EXTRA MONEY GOES	07
06	TEN DAYS LATE, FIFTY PERCENT MORE	08
07	"0%" IS TRUE UNTIL YOU SLIP	09
08	FLAT RATE IS NOT THE SAME RATE	10
09	THE CALCULATION THAT NEVER FAILS	11
10	BORROWING TO REPAY	12
11	WHAT THEY MAY NEVER DO TO YOU	13
12	CHECK YOURSELF	14
13	BEFORE YOU GO	15

HOW TO USE THIS

Thirteen chapters. About twenty-five minutes. One pen. Text explains; dashed boxes are yours. Do not skip the arithmetic — the arithmetic *is* the defence.

A NOTE FOR PARENTS

A financial-literacy workbook built by students, for students. It explains how borrowing, interest and app-based lending actually work, and how to recognise a predatory loan. It promotes no product and no borrowing. Read it together.

YOU ALREADY BORROW MONEY.

You may have no bank account. You may have never seen a loan form. You have still, almost certainly, borrowed money — and if you own a phone, someone is working very hard to lend you more.

CREDIT

Someone lets you use money now that you do not have yet.

DEBT

The total you owe because you took that credit.

INTEREST

The rent you pay for using someone else's money.

TICK ANYTHING YOU HAVE DONE

- | | |
|--|--|
| ☐ Bought something with "pay in 3 easy parts" | ☐ Seen an app promise cash "in 5 minutes" |
| ☐ Ordered food or a game now, paid later | ☐ Asked family for money you said you'd return |
| ☐ Borrowed ₹100–₹500 from a friend and forgot | ☐ Split a bill and still owe someone your share |

Every tick is credit. You are already inside this system. The only open question is whether you can read it.

DEBT IS NOT THE ENEMY

A loan you understood and can afford is one of the oldest useful tools there is. A debt you did not understand is a trap. This book is about seeing the difference in under sixty seconds.

NOBODY GETS TRAPPED BY A LOAN THEY UNDERSTOOD.

People get trapped by a number they never worked out.

THE LINE AND THE CURVE.

There are two ways to charge interest. They look almost identical at the start. They end in completely different worlds. **Every trap in this book is built on that difference.**

SIMPLE INTEREST

Charged only on what you first borrowed.

$$I = P \times R \times T$$

₹1,000 at 10% for 2 years → $1,000 \times 0.10 \times 2 = ₹200$. You repay **₹1,200**.

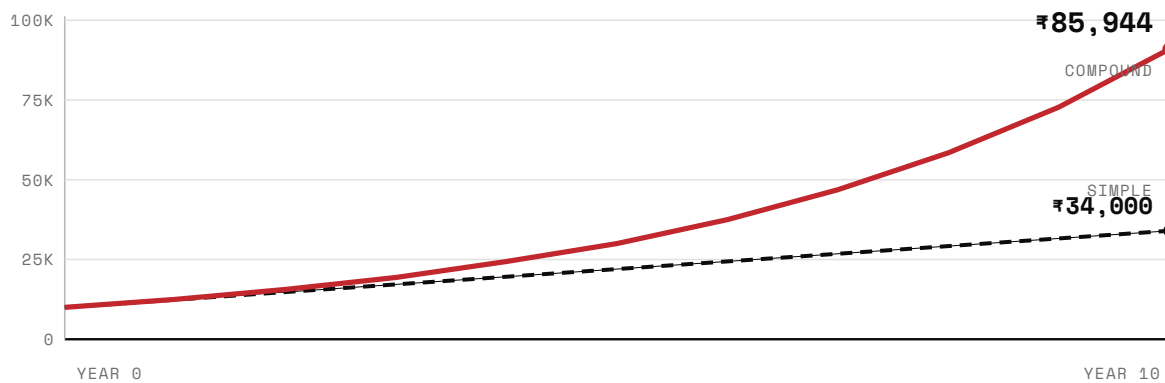
COMPOUND INTEREST

Charged on everything you owe — including interest already added.

$$A = P \times (1 + R)^T$$

₹1,000 at 10% for 2 years → $1,000 \times 1.10^2 = ₹1,210$. Only **₹10 more**. For now.

₹10,000 BORROWED AT 24% A YEAR · TRACKED FOR 10 YEARS



Same loan. Same rate. Same time. That gap is not a rounding error — it is **₹51,944** of your money.

YOUR TURN

You borrow ₹5,000 at 10% **simple** for 3 years.

Interest = $5,000 \times 0.10 \times 3 = ₹$ _____

Total you repay = ₹ _____

**TRAPS ARE BUILT ON THE
CURVE, NOT THE LINE.
LENDERS KNOW THIS. NOW
YOU DO.**

BUY NOW. PAY LATER.

Two products are aimed straight at you. Both are **unsecured** — you pledge no house, no gold, nothing. Nothing to seize means higher charges and harder chasing. That is the whole trade.

BUY NOW, PAY LATER

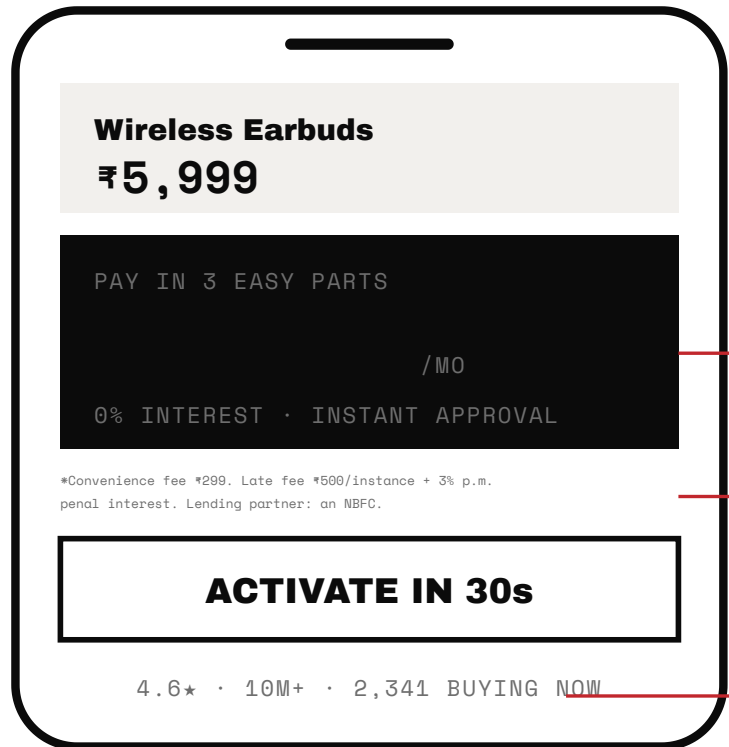
Take the product today, pay in instalments. Advertised as "0% interest" or "no cost EMI". Sits inside shopping apps at checkout — exactly where you are least likely to stop and think.

INSTANT LOAN APPS

₹1,000–₹50,000 into your account, sometimes in under ten minutes, for 7 to 30 days. Almost no questions. That speed is not generosity — **it is the product**.

READ THIS TWICE

None of this is illegal. Many are run by licensed lenders. The danger is not that they are criminal — it is that they are **engineered**, and you are the one who hasn't read the design.



- 1 The number they want you to see.
₹1,999 feels small. ₹5,999 + ₹299 + a possible ₹500 penalty does not.
- 2 The number they must show you.
It is real, it is legal, and it is 5.5pt tall.
- 3 The crowd.
"2,341 buying now" is not information.
It is pressure.

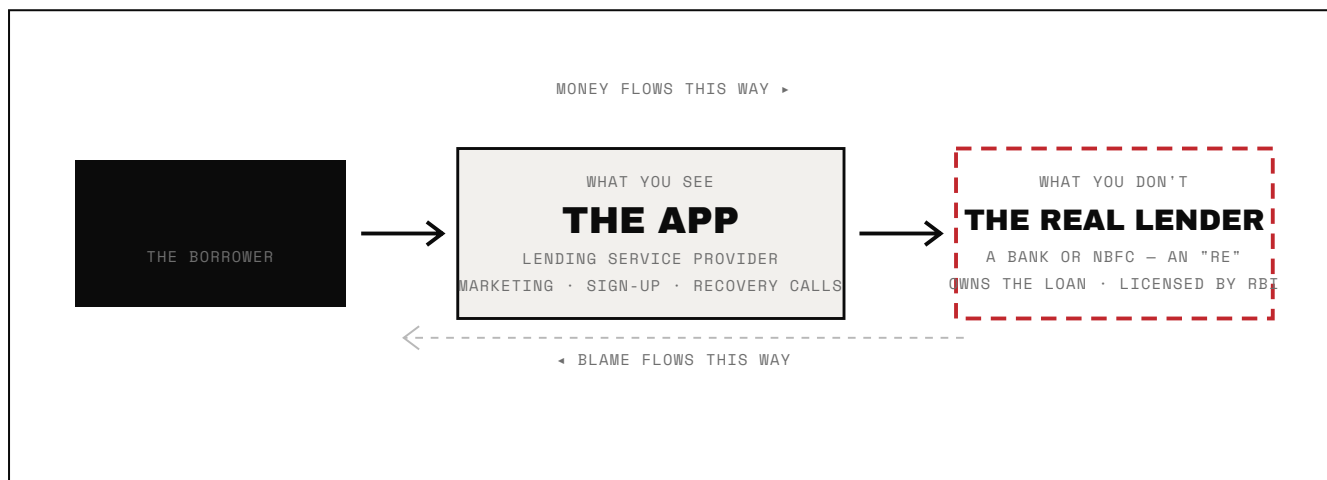
SPOT ONE IN THE WILD

App or site offering "pay later": _____

The small monthly number: ₹ _____

THE APP IS NOT THE LENDER.

This is the single most important fact in this book, and almost nobody using these apps knows it. The app on your phone is usually a **shop front**. The money comes from a company you have never heard of.



WHY THIS RUINS YOUR LIFE LATER

When a recovery agent screams at you, the app says "we only built the software." The lender says "we never spoke to you." You get bounced between two companies, one of which you cannot even name. **Knowing the real lender's name is what stops that.**

THREE INSTANT RED FLAGS

- ! You cannot find the real lender's name **anywhere** in the app.
- ! Money lands in a **wallet** inside the app, not straight into your bank account.
- ! The app wants your **contacts, call logs or photos**. It is not allowed to. Ask what it wants them for.

THE TWO-MINUTE TEST

Open any lending or "pay later" app – yours, a parent's, a friend's. Set a two-minute timer. Find the name of the actual lender.

App name: _____ Real lender (RE): _____

Found it in two minutes? ☐ Yes ☐ No – **and that is your answer.**

BORROW ₹10,000. RECEIVE ₹9,500.

The interest rate is the part they advertise. It is rarely the part that hurts. The real money is made in a stack of charges bolted on top – most of which you agree to without ever reading.

THE STACK

CHARGE	TYPICAL SIZE
Interest – on what you still owe	the headline
Processing fee – cut before you get the money	2–6%
Late payment fee – flat, per miss	₹150–₹500
Penal interest – stacked on after a miss	+2–3% p.m.
GST – tax on top of the fees	18%

THE PROCESSING FEE TRICK

YOU SIGN FOR



YOU RECEIVE

₹9,500

₹500 GONE BEFORE DAY ONE

...but you repay interest on the full **₹10,000**. A 5% fee on a 15-day loan is not 5%. Page 11 shows what it really is.

SO HOW IS "0% INTEREST" FREE?

It isn't. It is paid for one of two ways. **Either the shop pays** – the seller gives the app a commission and quietly builds it into the sticker price, so you paid it and never saw it. **Or you pay, but only if you slip** – the whole model rests on a predictable share of people missing one payment. See page 9.

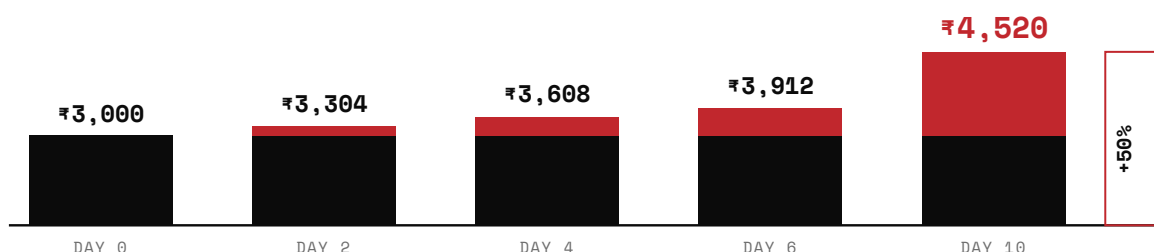
MATCH THE CHARGE TO WHAT IT DOES

- | | |
|--------------------------|---|
| 1 Processing fee _____ | A A flat charge for being even a day late |
| 2 Late payment fee _____ | B Government tax charged on the fees themselves |
| 3 Penal interest _____ | C Cut from the loan before you ever see the money |
| 4 GST _____ | D An extra rate stacked on after you slip once |

TEN DAYS LATE. FIFTY PERCENT MORE.

Late fees are usually a flat rupee amount per day, not a percentage. That sounds fairer. It is the opposite. A flat fee has no relationship to how much you borrowed — so on a small loan, it is monstrous.

₹3,000 OWED · ₹150/DAY LATE FEE · 2% PER MONTH INTEREST



DO THE SPLIT

Late fees (150 × 10)	₹1,500
Actual interest, same 10 days	₹20
Added in ten days	₹1,520

The interest rate was never the problem. **The punishment was.**

**A FLAT FEE DOESN'T
CARE THAT YOU ONLY
BORROWED ₹3,000.**

That is exactly why it is used.

BUILD YOUR OWN SPIRAL

Amount owed ₹ _____ Late fee per day ₹ _____ Days late _____

Fees = fee/day × days = ₹ _____ Total now owed = ₹ _____ That's _____ % more than you borrowed.

"0%" IS TRUE UNTIL YOU SLIP.

A ₹15,000 phone. Six monthly instalments. Zero percent interest, one small ₹299 convenience fee. Pay every instalment on time and it is genuinely almost free. That is not a lie — **it is a bet, and you are the one taking it.**

SAME PHONE · THREE FUTURES

Penalty on a missed ₹2,500 instalment: ₹500 flat + 3% per month penal interest. Missed by 20 days each time.

EVERY PAYMENT ON TIME

₹15,299

₹15,000 + ₹299 fee

THE ADVERTISED PRICE

ONE PAYMENT MISSED

₹15,849

+ ₹500 fee + ₹50 penal

ONE FORGOTTEN DATE

TWO PAYMENTS MISSED

₹16,399

+ ₹1,100 in penalties

9% ABOVE THE STICKER PRICE

THE BET YOU ARE ACTUALLY TAKING

You are betting that for **six months in a row**, on an exact date, money will be in your account. Not most months. Every month. Miss once — one late pocket money, one dead phone, one forgotten date — and the "free" offer has quietly become an expensive one.

WHY THEY CAN AFFORD TO OFFER 0%

Because a predictable slice of people will slip. The penalties from that slice pay for everyone else's "free" credit — and then some. **The slip is not a bug in the product. It is the product.**

YOUR SLIP RATE — BE HONEST

In the last six months, how many times were you late returning money, paying a fee, or submitting something on a deadline?
_____ times.

If that number is **more than zero**, you are not the person the "0%" offer was priced for. Write what that means for you:

SAME RATE. DIFFERENT PRICE.

Two loans can both say "12% a year" and cost you completely different amounts. This is the most consequential sentence in consumer lending, and almost nobody is taught it.

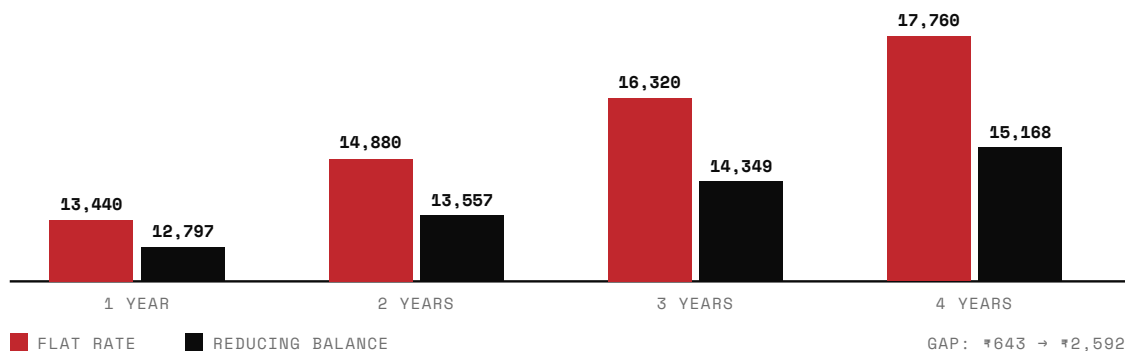
FLAT RATE

Interest charged on the **full original amount** for the whole term – even after you have repaid most of it. You keep paying interest on money you no longer owe.

REDUCING BALANCE

Interest charged only on what is **still outstanding**, which shrinks with every payment you make. This is the honest one.

₹12,000 BORROWED AT "12% A YEAR" · TOTAL YOU ACTUALLY REPAY



WHERE THE FLAT NUMBER COMES FROM

$$\text{Interest} = 12,000 \times 0.12 \times 1 = \text{₹}1,440$$

$$\text{Total} = 12,000 + 1,440 = \text{₹}13,440$$

Reducing balance uses the EMI formula – $\text{EMI} = [P \cdot r(1+r)^n] \div [(1+r)^n - 1]$ – giving ₹1,066 a month, ₹12,797 in total.

**"12% FLAT" IS NEVER
12%. THE LONGER THE
LOAN, THE WORSE THE
LIE GETS.**

THE ONE QUESTION TO ASK

Say this out loud to any lender, ever: **"Is that flat or reducing balance?"** If they cannot answer in one word, you have learned something.

A loan you or your family has: rate _____ % · flat or reducing? _____

THE CALCULATION THAT NEVER FAILS.

Two skills catch almost everything: turn any fee into a yearly percentage, and recognise the five tricks used to stop you doing that arithmetic in the first place.

The offer: borrow ₹2,000 for 15 days. Fee: ₹100. Sounds like nothing.

01 · COST AS A %

$$100 \div 2,000 =$$

5%

...for fifteen days.

02 · HOW MANY?

$$365 \div 15 \approx$$

24

15-day chunks a year.

03 · MULTIPLY

$$5\% \times 24 =$$

122%

a year. The real price.

THAT'S ROUGHLY **NINE TIMES A BANK LOAN'S RATE — FOR THE EXACT SAME RUPEE.**

DO IT ON A REAL OFFER

Fee ₹ _____ Loan ₹ _____ Days _____

fee ÷ loan = _____ % × (365 ÷ days) = _____ = _____ % a year

FIVE WAYS YOUR BRAIN GETS PLAYED

No friction	No forms, no wait, no one asking "what's this for?"
Framing	"₹299 a month" instead of "₹3,588 a year plus fees."
Present bias	The reward is today; the cost is a rumour called "later."
Gamification	A bigger debt dressed up as a "limit increase."
Isolation	Normal to borrow, shameful to admit you're stuck. That silence is the last wall of the trap.

WHICH OF THESE HAS ALREADY WORKED ON YOU?

- | | |
|---|--|
| ☐ A "per month" price made something feel affordable | ☐ I bought something because everyone else had it |
| ☐ A "reward" or "level up" made me spend more | ☐ I've hidden a purchase or a debt from my family |

BORROWING TO REPAY IS THE TRAP CLOSING.

You can't pay, so the app kindly offers to push the date back for a small fee. Nothing about that sentence is kind.

THE ROLLOVER · ₹3,000 BORROWED · ₹450 TO "EXTEND" · DONE SEVEN TIMES

FEES YOU PAY



DEBT REDUCED BY



You have paid **more than you borrowed** and you owe **exactly what you started with**. This is not a mistake in the system. It is the system.

LOAN STACKING

EACH ONE COSTS MORE THAN THE LAST



BECAUSE EACH IS LENDING TO SOMEONE VISIBLY IN TROUBLE

App B to pay App A. Then App C to pay App B. Your total debt compounds silently across platforms, invisible to any single lender.

**THE MOMENT YOU
BORROW TO REPAY,
STOP.**

Do not open another app. That is the line.
Everything after it is page 13.

THE DIAGNOSTIC QUESTION

Not "does this app call it a rollover?" — they rename it constantly. Ask instead: **is new debt being used to clear old debt from the same or a related source, with nobody re-checking whether I can actually repay?** If yes, it is a rollover under a different name.

WHAT THEY MAY NEVER DO TO YOU.

All four of the things below are **already illegal** under RBI rules that apply to every bank, NBFC and lending app in India. They keep happening for one reason: almost nobody reports them.

A RECOVERY AGENT MAY NEVER

- ✗ Call you **before 8 a.m. or after 7 p.m.**
- ✗ Call your **friends, relatives, classmates or contacts** about your debt.
- ✗ Threaten, abuse, or shame you publicly – including on WhatsApp or social media.
- ✗ Send morphed photos, fake legal notices, or pretend to be the police.

They must also identify themselves with a valid ID and a written authorisation letter from the lender. An unpaid BNPL instalment is a **civil** matter, not a criminal one. Nobody is arresting you.

IF IT HAPPENS – FOUR STEPS, IN ORDER

WRITE IT DOWN

Date, time, number, exact words. Screenshot.

02

TELL ONE ADULT

Today. Not when it's fixed. Now.

03

GRIEVANCE OFFICER

Every legal lender must have one, listed in-app.

04

ESCALATE

cms.rbi.org.in
cybercrime.gov.in · 1930

NO REPLY FROM THE LENDER IN 30 DAYS → STEP 4 IS FREE AND TAKES TEN MINUTES

THEY ARE COUNTING ON YOUR SILENCE.

It is the cheapest recovery tool they own – and the only one you can take away from them for free.

THE ONE ADULT

Write the name and number of the person you would actually tell. Do it now, while nothing is wrong – it is much harder to think of one later.

Name _____ Number _____

CHECK YOURSELF.

Tick every statement true for you **right now**. Add up the points. This page is about you, not about an app – and honesty is the entire point of it.

STATEMENT	POINTS
☐ I owe money to someone right now – an app, a shop, a friend – that I have not fully repaid.	2
☐ I do not know the exact total I owe today, to the rupee.	2
☐ I have been late on a repayment at least once.	2
☐ I do not know the % per year cost of anything I have borrowed. (Page 11.)	2
☐ If a ₹2,000 emergency hit tomorrow, I would have to borrow to cover it.	2
☐ I have hidden a debt or a purchase from my family.	3
☐ Someone has contacted me more than once about money I owe.	3
☐ I have borrowed from one place to pay another .	4
MY SCORE	/ 20

SHADE YOUR BAND

0-2 · CLEAR

YOU'RE OUT. STAY OUT.

3-7 · EXPOSED

BORROWING BLIND.

8-13 · SLIPPING

THE SPIRAL'S STARTED.

14-20 · TRAPPED

STOP TODAY.

LOW RISK

ACT THIS WEEK

IF YOU SCORED 3-7

Go back to page 11 and calculate the % **per year** on everything you owe. Today. You are not in trouble – you are flying blind, and that is how trouble starts.

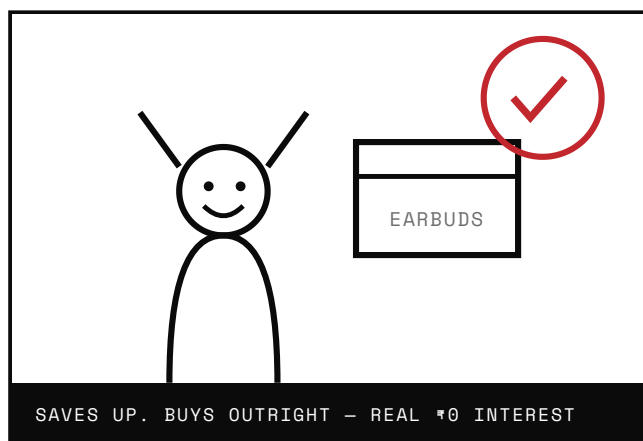
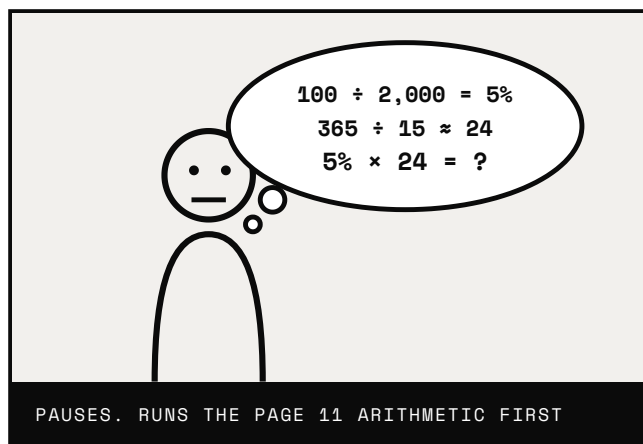
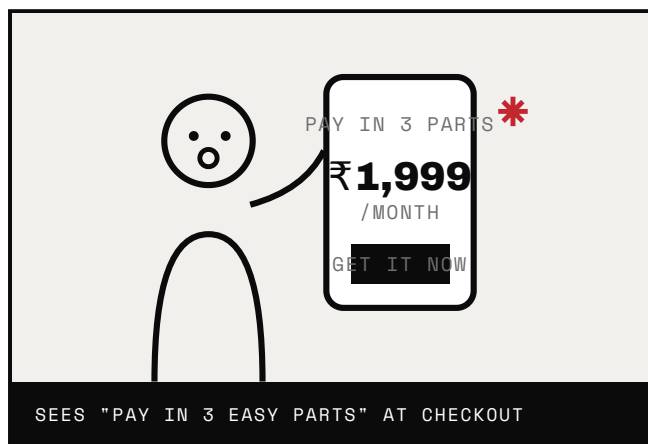
IF YOU SCORED 8 OR ABOVE

Write down the **full, real number** you owe – every app, every person. Then tell one adult this week. Page 13 tells you exactly who to call.

ONE THING I WILL DO THIS WEEK

BEFORE YOU GO.

One more time — what it looks like when someone actually does this, at the one moment that matters: the checkout screen.



THE TRAP WAS NEVER THE MONEY. IT WAS THE SILENCE.

DE-TRAP INITIATIVE · TALK ABOUT IT · PASS IT ON

FOR PARENTS & GUARDIANS

If your child showed you this, that's a good sign. Ask them to walk you through page 11's calculation — two minutes, and the most useful habit in this book.